



Presents

“Multi Timeframe Analysis”

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Multi Timeframe Analysis

As you know, the market will move up and down. We can trade these movements up and down, but not all moves will be profitable. Some trades will yield small returns or even losses while others will provide us with easy wins and nice big profits.

With the RRM system, we are trading with the trend, and this is a great start to determining which way the market will likely move. As we trade with the trend, the moving average line up in a specific order, and from experience we can tell that that is the way the market will likely keep moving.

Trades in the opposite direction of a trend can be very risky. Although you will at times profit from these counter trend setups, the higher probability lies with the greater trend.

RRM is even equipped to show us trend over a short term, medium term and long term period of time. The moving averages we are using are great cues to what the market potential is. But sometimes we would like further confirmation in real time

To get an idea of the higher term trend potential, we can refer to higher timeframes. This can often help us determine if a trade setup is viable right away.

What is a higher timeframe

When we trade, we are looking at charts, and on those charts we see candles. The candles take a certain amount of time to form. On a 5 minute timeframe, the candle takes 5 minutes to develop from open, to formation, to close.

A higher timeframe would be a timeframe that is bigger, or longer. That is to say, a timeframe that is higher than 5 minutes would be 15 minutes, or 1 hour, for example.

When we are assessing the market, we often have a chosen timeframe we like to trade. To confirm your trade is a good trade to take, looking at the timeframe above it can be important.

What are the timeframes?

With Metatrader 4, we have several timeframes to choose from.

M1 = 1 minute

M5 = 5 minute

M15 = 15 minute

M30 = 30 minutes

H1 = 1 hour

H4 = 4 hour

D1 = Daily

W1 = Weekly

MN = Monthly

When we are trading, often we have chosen a timeframe we like, one that suits our trading style and the time restrictions we have.

The higher timeframe that we want to examine would be one that is the close to a 4:1 ratio as we can get. 4 to 1 seems to be a nice enough difference to make a proper evaluation of the market. Too much bigger, then the evaluation becomes irrelevant, too much closer, then it becomes too similar.

Here is the list of what would be the next higher timeframe based on what we have available to us on MT4:

M1 = 1 minute	➔ Next higher would be M5 = 5 minute / Ratio is 5:1
M5 ➔ M15	/ Ratio is 3:1
M15 ➔ H1	/ Ratio is 4:1
M30 ➔ ?	/ ----
H1 ➔ H4	/ Ratio is 4:1
H4 ➔ D1	/ Ratio is 6:1
D1 ➔ W1	/ Ratio is 5:1
W1 ➔ MN	/ Ratio is 4:1
MN ➔ ?	/ ----

You will notice a couple of things with the ratios above.

First, there is no higher timeframe to the Monthly... that's fine, we don't generally trade that timeframe anyways.

Next, you see the 30 minute is the odd-man-out. We very rarely trade or watch the 30 minute timeframe.

For the M15:

The M30 is too close to the 15 minute to use it as an appropriate next higher timeframe for the 15 minute charts, the ratio is only 2:1. This means that the 30 minute will essentially just be copying the 15 minute, the difference isn't great enough to make a proper assessment.

The M30:

We can trade the 30 minute timeframe, but there is no appropriate higher timeframe. The next higher is the H1 which gives as a 2:1 ratio, which we understand is too close. The next higher after that is the H4 and the ratio there is 8:1, and this is so far displaced that it's not a good representation. There is too much 30 minute room in the 4 hour timeframe.

Why we use higher timeframes.

We use higher timeframes because we get a better idea of what direction there is likely going to be a larger move.

In our example, let's use the 15 minute timeframe as the period we are trading, so the next higher timeframe would be the 1 hour timeframe that we are going to look to.

We understand the market has a certain potential to cover so many pips for each timeframe:

- For a 15 minute timeframe (the one we're trading), we could say that when we place a trade, we can expect the market to give us an average of about 25 pips.
- For the 1 hour timeframe, we can easily expect a move of around 50 pips.

When the market on the higher timeframe is in agreement with the direction of the setup we are looking at on the lower timeframe (the one we're trading), we can feel confident that we can reach our target.

If on the 1 hour the market is moving up, we know it has a potential to move 50 pips. If we are going to take a trade on the 15 minute and our goal is 20 pips, that confirmation on the higher timeframe tells us the market really does want to move in that direction and our target should easily be hit.

If, on the other hand, the 1 hour is showing us up, be we want to take a short trade on the 15 minute, we could very well be taking a trade that is only a small retracement on the higher timeframe. This means it's likely that we won't see the profit target of 20 - 25 pips get hit as it's against the higher timeframe direction.

How to use the higher timeframe.

The question then becomes:

“What do I look for on the higher timeframe to confirm my trade?”

This is really quite simple, there's nothing too difficult in this assessment.

What you are looking for on the higher timeframe are conditions that you would allow you to take a trade if you see a setup on that timeframe.

If you are trading the 15 minute, you are looking for certain conditions or criteria in order to place a trade. This we understand. You want to see similar conditions on the higher timeframe for this confirmation.

On the higher timeframe you want to see...

- The moving averages are in a tradable phase
- The DPI is the proper color
- The DPI is not oversold/overbought
- The market is not moving sideways
- There is room to move to nearby areas of support and resistance

...all the things that you would look for if you were actually going to trade that higher timeframe.

An Example

Let's take a look at an example.

The easiest way to back-test is to block off portions of the higher timeframe. In this example we are going to be trading the 15 minute, so let's block off a section of the 1 hour that we would consider good to trade.

Below you will see a chart of the 1 hour timeframe. We can consider the area in between the vertical lines to be tradable. The moving averages are in the trending phase and the DPI is yellow and climbing.

The 1 hour is the higher timeframe. We know this was a good place to look for trades on this timeframe, so after we have determined the higher timeframe is fine to trade, we go back to the timeframe we are going to trade.



Below we switch back to the 15 minute timeframe. This is the timeframe that we are looking to trade. You can see the section that has been blocked off on the 1 hour is 4 times as wide on the 15 minute candle as there are 4 times the candles (4 – 15 minute candles make up 1 hour).



You can see there are 3 trades... well, 2 trades and a not-a-trade trade.

1. This is a good trade. If you were to look at the 1 hour timeframe you would see that what is a tradable pullback here was just a small bear candle. Everything on this setup was perfect, the MAs were in a Trending Phase, the DPI was yellow. Entry was good.
2. Trade 2 was also good. We got a pullback, the DPI turned overbought and then turned Red. MAs were still trending and the higher timeframe also agreed that this was still tradable. When the DPI turned yellow, all the other signals were good to go long.
3. Trade 3 was overbought on the 15 minute timeframe. The higher timeframe was almost overbought, but the 15 was already. No trade.

Let's take a look at an example where the higher timeframe saved us from a bad trade.

Below you see a 4 hour EURUSD. In this example, we are trading the 1 hour timeframe, so this 4 hour becomes the higher timeframe. I sectioned off a zone that we wouldn't regularly trade on this timeframe as the conditions are not quite right. The market is overbought so the market will want to either move sideways or even pullback.

In the example you can see the market did pullback a ways.



Now we switch back to the 1 hour timeframe that we are trading.

As you see, we do get a nice looking crossover trade. The setup was clean, the Ribbon crossed down and then back up again causing the crossover. The moving averages were in the trending phase and at the arrow, the setup candle saw the DPI turn yellow. All clear for a long trade!

The market did move a little ways in favour of the trend, but ultimately it failed.



If you had taken this trade and managed it properly with the PSAR, you would have taken a smaller loss, but you would have lost regardless.

The higher timeframe was overbought, we understand that from there the 4 hour timeframe would move sideways or possibly retrace. This makes taking long trades on the lower 1 hour timeframe dangerous.

The 1 minute and 5 minute timeframes

These small timeframes are unique unto themselves.

The market has a vibration to it. It moves up and down and it does it a lot! Sometimes it only does it a few pips at a time and other times it does it much more.

The 1 minute and the 5 minute timeframes are especially sensitive to this constant fluctuation. You can nail the trade direction, but because the stop loss is so small, the basic market vibration can stop you out.

There might be a 10 pip “vibrational window” that the market needs to move around in. Placing a stop loss inside that window can make for a string of losses. We need to be extra sure we are taking a trade in the right direction.

To do this, I like to add a second higher confirmational timeframe. I want to look at the 2 higher timeframes, so before I take a trade on this small 1 minute or 5 minute timeframe, I want to see the 2 higher timeframes in agreement.

Trading the 1 minute:

- M1 confirmed with M5 confirmed with M15.

Trading the 5 minute:

- M5 confirmed with M15 confirmed with H1.

You have a little leeway with the 5 minute, but the more confirmation, the better.